

THE EQUITY EXPRESSION OF THE GOLD THESIS

The Margin Nobody Will Pay For

Yesterday the largest gold-mining ETF rose 3.1% to \$78.41 — and remains a third below its 52-week high, after a correction that took the 13D Gold Miners Index down 41% from its March top. In the same six weeks the two biggest companies in that index reported two of the largest cash quarters in their histories and handed most of the money back. Six days ago the Federal Reserve held rates with three of its own presidents dissenting in favour of a *hike*. The gold-miner debate has quietly changed subject, and the new subject is not one the companies control.

A reframe worth holding onto

For a decade the argument about gold miners was about *cost* — whether diesel, labour and sustaining capital would eat the margin before shareholders ever saw it. The internal Heyokha view is that this question has been answered: margins are roughly four times their late-2023 level and the cash is being returned rather than reinvested. The unresolved question is not whether miners can earn. It is whether a market pricing rate hikes will pay for gold-linked earnings at all.

Method note: external market data is drawn from public reporting and company filings and attributed with as-of dates; internal views come from the Heyokha Wiki's *Gold Miners* theme page (last reviewed 20 July 2026, with an August 2026 update section) and are labelled as views, not verified forecasts.

Imagine you own a business whose single product sells at a price set on a screen you do not control. For years the price barely moved while your costs did, so the market judged you on discipline, and mostly found you wanting. Then the price roughly tripled. Your costs rose by perhaps a third. The margin went from thin to extraordinary, and you began sending most of it back to owners rather than digging new holes. And your shares fell by a third anyway — because the people who buy your stock were never buying your margin. They were buying a view on the screen.

THE STORY IN 60 SECONDS

\$3,024

Agnico Eagle's margin per ounce in Q2 2026 — a realised gold price of \$4,483 against all-in sustaining costs of \$1,459. Company reporting, 29 July 2026.

−41.1%

The 13D Gold Miners Index from its 2 March top to the 17 July low. 77.1% of that entire fall happened in 14 trading days. Heyokha Wiki, *Gold Miners*, as of 2 August 2026.

76–82%

Market-implied odds of a September 2026 Fed *hike* after the 29 July hold — up from 30–38% before the meeting. As of 29 July 2026.

WHAT ACTUALLY HAPPENED

The best quarter, the worst tape

The mechanics are worth walking through slowly, because they are the mirror image of the story the sector told for a decade. On 23 July Newmont reported \$2.21bn of free cash flow, \$2.2bn of net income and adjusted earnings of \$2.10 a share, on 1.293 million ounces of production. It returned \$1.9bn to shareholders, \$1.7bn of it in buybacks, and has now

retired more than 100 million shares — about 9% of the company — since February 2024. It holds \$9bn of cash against \$5.08bn of debt.

Six days later Agnico Eagle reported the best quarter in its history: record free cash flow of \$1.335bn, net income of \$1.6bn, 855,816 ounces produced at an all-in sustaining cost of \$1,459 against a realised price of \$4,483. It ended June with \$3.46bn of cash against \$197m of total debt — a net cash position of \$3.27bn — and returned \$625m, including a \$400m buyback executed at an average of \$178.86 a share.

So what fell? The metal, first. Gold peaked intraday at \$5,608 on 29 January and bottomed at \$3,941 on 30 June, a 29.7% decline, before recovering to \$4,070 on 4 August. And then the leverage on the metal: the 13D Gold Miners Index fell 41.1% from its 2 March top to the 17 July low, with the junior index following the same shape. Newmont's own quarter tells the story inside the story — its \$2.21bn of free cash flow was 30% *below* the record it set in Q1, because its realised gold price fell \$486 an ounce between the two quarters. The record was March, not June.

THE ESSENTIAL DISTINCTION

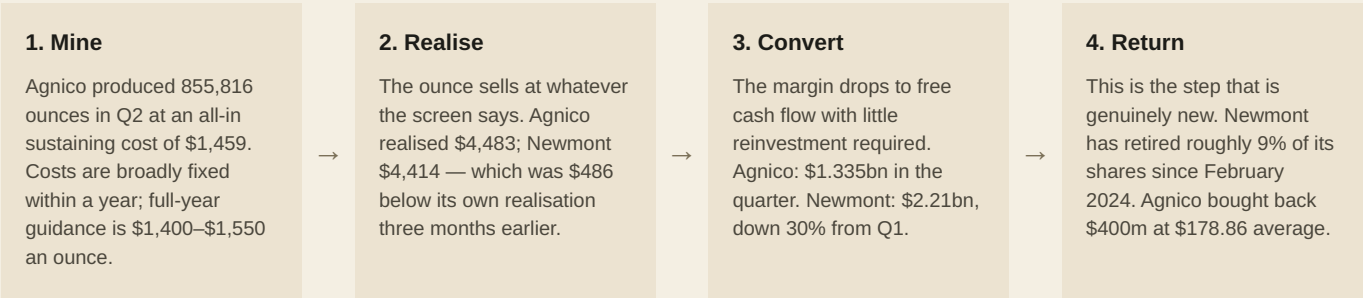
A correction is not a repudiation. Gold is 3% above its June low and 21% above where it traded a year ago. What fell 41% was not the metal. It was the leverage on the metal — and the leverage is priced by a different set of buyers than the ounces are.

Two features of the decline are unusual enough that the internal research treats them as evidence rather than noise. The first is the shape: 77.1% of the index's entire 41% correction was delivered in fourteen trading days, a front-loaded profile that the Wiki page matches to the 2000s bull market, when corrections did their price damage early and then ground sideways for months. Four such months have now passed. The second is the magnitude relative to history. In 2022, gold fell 22% and the HUI fell 44% — roughly the two-to-one ratio that operating leverage implies. This time gold fell 29.7% and the index fell 41.1%. Less leverage on the way down is the same fact, read from the other side, as a shareholder register dominated by long-term holders rather than traders.

THE MECHANISM

How an ounce becomes cash

To see why the argument has moved off the income statement, it helps to follow a single ounce from the ground to the shareholder. Three of the four steps are now controlled, measured and disclosed. The fourth is a screen.



Unit economics per company reporting, Q2 2026 (Newmont 23 July, Agnico Eagle 29 July). Guidance figures are company guidance, not forecasts.

Scale that to the price that exists today rather than the one that existed in the quarter, and you get the number that matters. Gold at \$4,070 against Agnico's full-year cost guidance midpoint of roughly \$1,475 leaves about \$2,595 an ounce. In December 2023 the internal research was arguing that all-in sustaining margins above \$660 an ounce — then more than double their 2018 level — were being "effectively ignored by the market." Margins are now roughly four times that level, and the stocks are lower than they were in March.

\$4,070

Spot gold per ounce, 4 August 2026 — up 21.0% year-on-year, down 1.8% over the month

~\$1,475

Agnico Eagle's full-year 2026 all-in sustaining cost guidance, at the midpoint of \$1,400–\$1,550

~\$2,595

Implied margin per ounce at today's price — against roughly \$660 in December 2023

Gold price per public reporting, 4 August 2026. Cost guidance per company reporting, 29 July 2026. The December 2023 comparison is an internal Heyokha Wiki figure sourced to 13D Research. Illustrative arithmetic, not a forecast — the implied margin applies a spot price to a full-year cost guide and ignores hedging, mix and timing.

THE ANATOMY OF THE CORRECTION

Where the damage actually landed



Gold and index moves per Heyokha Wiki, *Gold Miners*, internal views sourced to 13D Research (2 August 2026); gold's 4 August level and GDX's 52-week range per public reporting. Bars are scaled illustratively. Not independently verified.

A USEFUL MENTAL MODEL

Operating leverage is a promise that works in both directions, and nobody remembers the second one. A miner is a fixed-cost business with a floating revenue line: that is why a 20% move in gold has historically produced a 40% move in the equities. Buying miners is not buying gold. It is buying a magnified, unhedged, single-variable bet on gold — with a management team attached.

READING THE CHANGE

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The bottleneck moved from cost to rates	Margins are roughly four times their December 2023 level, record cash is being returned, and the equities fell 41% anyway.	Bullish if cost fears were the real overhang and are now resolved. Bearish if the market has correctly identified that a tightening Fed caps the gold price which generates those margins.
Miners fell less than their leverage implies	Gold –29.7% from the January top against the index –41.1%, versus the 2022 pattern of roughly two-to-one (gold –22%, HUI –44%).	Consistent with a register held by long-term investors rather than traders. It also means less coiled upside if the historical ratio reasserts itself on the way back.
Cash is returned, not reinvested	Newmont has retired ~9% of shares since February 2024 with \$4.3bn left of a \$6bn	Capital discipline is precisely what the sector was accused of lacking for a decade. But it also means

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
	authorisation; Agnico ran a \$400m buyback and holds \$3.27bn net cash.	growth is not being bought, so the equity is a purer bet on price than it used to be.
Earnings have already rolled over	Newmont's free cash flow fell 30% quarter-on-quarter as its realised price dropped \$486; Q2 AISC of \$1,621 sits above Agnico's full-year top end.	The record quarter was March. Q3 realisations will be struck against a lower spot price, which makes the durability of the buybacks the real test rather than the headline margin.
The Fed became the swing variable	A 9–3 hold on 29 July with three dissents for a hike — the most divided decision since 2016 — the 30-year at 5.14% and the 10-year at 4.62%, a 2026 high.	2022–23 is the precedent in both directions: tightening drove a 21% gold drawdown, and the reversal was followed by a 225% gold rally and an almost 450% move in the HUI.
Juniors are leading seniors	The GDXJ-to-GDX ratio has held firm through four months of grinding, and explorer indices sit above their March and June lows despite a lower gold price.	Patient capital moving out the risk curve is a classic late-correction signal. It is also the thinnest, least liquid corner of an already illiquid sector.

THE TWO CASES

Bull and bear, stated fairly

The case for the miners

- **The cash is audited and enormous.** Newmont \$2.21bn and Agnico a record \$1.335bn of free cash flow in a single quarter, with Agnico carrying \$3.27bn of net cash against \$197m of debt.
- **Margins are four times the 2023 level** that internal research already described as being ignored — roughly \$2,595 an ounce at today's price against about \$660 in December 2023.
- **The price damage is front-loaded and spent.** 77.1% of the index's fall came in fourteen days; the four months since have rebuilt exactly the end-of-correction scepticism that has historically preceded the turn.
- **Capitulation is measurable.** Sentiment at 10, RSI near 21, the largest bullion-ETF outflows since the December 2015 bottom, and the Gold Miners Bullish Percent Index at zero.
- **Management is the buyer.** Newmont has \$4.3bn of authorisation left and Agnico bought stock at \$178.86 — the highest-conviction signal available from inside a company.
- **Juniors are already leading.** Explorers outperforming cash-generating producers during a commodity correction is not the normal order of things.

The case for caution

- **The Fed is moving the wrong way.** Three presidents dissented for a hike and September odds ran 76–82% after the hold. Miners have never re-rated into a tightening expectation.
- **The peak quarter has passed.** Newmont's free cash flow fell 30% from Q1 and its realised price fell \$486. Q3 will be struck against a spot price below both.
- **Costs are drifting up.** Newmont's Q2 all-in sustaining cost of \$1,621 an ounce is above the top of Agnico's full-year guidance range.
- **Sentiment extremes have already failed once.** The historic-extreme readings arrived in late June; the index then fell further into 17 July. Oversold is not a timing tool.
- **Liquidity is genuinely thin.** The internal research warns it will be "difficult to buy in size when the turn comes" — a caution that applies equally to getting out.
- **The metal has not reclaimed its own trend.** Gold is still 27% below its January high. Every bull argument here is downstream of a price that has not yet confirmed.

It is worth flagging where the internal and external views point in opposite directions, because on this theme they do so on timing rather than direction. The Wiki's 2 August reading is that the correction's price damage is finished and the dollar leg is turning — it identifies an inverse head-and-shoulders forming near the base of the index's falling wedge, a double-top in the dollar index inside a rising wedge, and a ten-year-minus-two-year curve low struck on 30 June, the exact day of gold's correction low. The rates market says something close to the reverse: after the 29 July hold, the implied probability of a September hike moved from roughly a third to roughly four-fifths. Marc Faber, writing on 1 July from an entirely different analytical tradition, splits the difference — "bullion remains in a corrective phase but it is slowly entering a buying zone... I shall buy some miners within the next few months." All three cannot be right about the next eight weeks.

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
The September FOMC	Odds of a hike ran 76–82% after the 29 July hold; the new Chair submitted no dot-plot forecast and offered no forward guidance.	The single largest swing factor. Gold miners have not historically re-rated into a tightening expectation, and the guidance vacuum means every data point moves the odds.
HUI 575–638 support	638.59 is the 2011 major top; the 575 area is the 2015–16 breakout zone and a 50% retracement of the 2022–26 advance.	Internal research puts a full test roughly 12% below the correction low and treats a successful test — not the level itself — as the signal.
The dollar	A double-top forming inside a rising wedge on the internal read, with currency sentiment at a historic bearish extreme.	Gold and the dollar have traded inversely all year. A confirmed dollar top is the cleanest external confirmation the bull case can get.
The GDXJ-to-GDX ratio	Juniors have held their ground against seniors through four months of sideways grinding.	This is the strongest single piece of internal bottoming evidence. If it breaks down, the "patient capital" reading loses its main support.
Q3 realised prices	Agnico realised \$4,483 and Newmont \$4,414 in Q2, both well above the \$4,070 spot price on 4 August.	Q3 realisations will be lower by arithmetic. Whether buybacks and dividends hold at a lower price is the durability test the bull case has not yet faced.
Buyback execution	Newmont has \$4.3bn remaining of a \$6bn authorisation after spending \$1.7bn in the quarter.	Continued repurchase at a third off the high is management taking the other side of the market's rate view with the company's own cash.

WAYS TO THINK ABOUT IT

Three postures, not one answer

The senior producers

Own the large caps, where the margin is audited, the balance sheets carry net cash, and the buyback does the work while the price waits. The cost of this posture is that seniors carry the least operating leverage if gold reclaims its January high — you are buying certainty at the price of upside.

Out the risk curve

Own juniors and explorers on the evidence that they are already leading, which internal research reads as patient capital moving out the risk curve before the turn. The counter is liquidity: this is the thinnest part of an illiquid sector, and the warning about buying in size applies double on the way out.

The royalty route

Own the royalty and streaming companies — Wheaton and Franco-Nevada together are roughly 10.7% of the main miners ETF — which capture the gold price without the cost line. The trade-off is explicit: you surrender operating leverage in exchange for immunity to the cost question that dominated the last decade.

A representative map — these are illustrative names and instruments used to explain how the theme is expressed in markets. They are NOT recommendations, and no view on price is intended.

AEM

Agnico Eagle Mines

Record Q2
29 Jul 2026

The cleanest expression of the bull case. Record free cash flow of \$1.335bn, net income \$1.6bn, 855,816 ounces at \$1,459 all-in sustaining cost against a \$4,483 realised price — a \$3,024 margin per ounce. Ended June with \$3.46bn cash against \$197m of total debt, and returned \$625m including a \$400m buyback at \$178.86 average.

WATCH NEXT

Whether the buyback pace holds against a Q3 realised price struck nearer \$4,070.

NEM

Newmont Corporation

FCF -30% q/q
23 Jul 2026

The bear case's sharpest datapoint, from inside the bull case. \$2.21bn of free cash flow and \$2.2bn of net income — but 30% below the record set in Q1, on a realised price \$486 lower and all-in sustaining costs of \$1,621. Has retired more than 100m shares, roughly 9%, since February 2024, with \$4.3bn left of a \$6bn authorisation.

WATCH NEXT

Cost trajectory at Cadia and Peñasquito, and whether the \$4.3bn authorisation is spent into weakness.

GDX

VanEck Gold Miners ETF

\$78.41
4 Aug 2026

The sector's price tape and the most-quoted proxy. Closed at \$78.41 on 4 August, up 3.10% on the day, against a 52-week range of \$53.16 to \$117.18 — 33% below the high and 47% above the low. \$23.4bn of assets; the top five holdings are 39% of the fund. Reported price/earnings of 13.6 on trailing record profits.

WATCH NEXT

Whether the 200-day average is reclaimed, having traded as low as 83.8% of it in late July.

GDXJ

VanEck Junior Gold Miners ETF

Ratio holding
as of 2 Aug

The internal research's key tell. Juniors delivered 81% of their entire correction in the same fourteen trading days that hit the seniors — but the GDXJ-to-GDX ratio has held firm through the four months since, and exploration indices sit above their March and June lows despite a lower gold price. Riskier companies outperforming cash-generative ones is the anomaly.

WATCH NEXT

Any breakdown in the ratio, which would remove the strongest internal bottoming argument.

WPM / FNV

Wheaton Precious Metals / Franco-Nevada

~10.7% of GDX
combined weight

The structural alternative. Royalty and streaming companies buy future production at fixed prices, so they capture the gold price without carrying the mine's cost line — the exact variable behind Newmont's \$1,621 all-in sustaining cost and a decade of investor scepticism. Together roughly 10.7% of the main miners ETF, at 5.56% and 5.12% respectively.

WATCH NEXT

Relative performance versus producers — royalties usually lead out of a bottom and lag into a melt-up.

Gold

The underlying

\$4,070/oz
4 Aug 2026

Everything above is downstream of this number. Spot gold traded at \$4,070 an ounce on 4 August — up 21.0% year-on-year and down 1.8% on the month, but 27% below the \$5,608 intraday high struck on 29 January and only 3% above the \$3,941 low of 30 June. Internal research dates the correction low to the same day the yield curve bottomed.

WATCH NEXT

Whether the 30 June low holds through the September FOMC, and the August and September CPI prints that will set it.

The bottom line

The correction in gold miners was not the market deciding the business does not work. Q2 settled that question in the other direction: two companies generated roughly \$3.5bn of free cash flow between them in a quarter when the gold price was falling, and handed most of it back. What was repriced was not the margin but the price that produces it — and behind that, a Federal Reserve which three of its own presidents want to be tightening.

The evidence is mixed and this edition has tried not to smooth that over. Agnico's quarter was the best in its history. Newmont's was 30% below its own record, set three months earlier. Both are true. The reasonable inference is not that the thesis is broken but that it has been stripped down to a single variable, the gold price, at exactly the moment the rates market has taken the other side of it. The internal Heyokha view is that the price damage is done and the time element is nearly spent; the September FOMC is where that view finds out.

Editorial note. This Field Guide is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation to buy or sell any security, and not personalised to any individual's circumstances. Named companies illustrate how a theme is expressed in public markets; their inclusion implies no view on their merits. External figures are attributed with as-of dates and were verified at the time of writing; markets move and figures date quickly. Internal Heyokha Wiki views are the opinions of named third-party research providers, labelled as views rather than verified forecasts; where Wiki content itself cites third parties, we have not independently confirmed those underlying claims. Where internal and external views conflict, we have said so rather than resolved it.

Sources and update notes

Internal — Heyokha Wiki. Primary page: *Gold Miners* (theme, status active, created 23 June 2026, **last reviewed 20 July 2026**, carrying an August 2026 update section), sections Thesis, Evidence & data, and the dated 2026 additions. Related pages: *Gold*, *Silver*, *Paradigm Shift* — *Hard Assets*. Provider issues relied on: **13D Research** — WATMTU of 2 August 2026 ("the bottom of a correction is a process, not an occurrence"), the principal source for this edition; also WATMTU 19 July 2026 (the 1984 DJIA back-test parallel), WATMTU 5 July and WILTW 2 July 2026 (the shakeout thesis and the third sentiment extreme), WILTW 16 July 2026 (Tavi Costa on explorer outperformance), WATMTU 28 June 2026 (the sentiment and technical convergence, and the HUI 575 / 2,175 levels). **Marc Faber** — Monthly Market Commentary, 1 July 2026, on entering a buying zone for miners.

Limitation on the internal view. The Gold Miners page is heavily weighted to one provider — 13D Research — which supplies the technical framework, the sentiment readings, the historical analogues and all of the price targets cited here. Marc Faber and Tavi Costa appear as corroborating voices from different analytical traditions, but there is no bearish counterweight of comparable depth anywhere on the page. Treat the internal evidence base as directionally consistent because it is largely single-source, not because the question is settled. The bear case in this edition is therefore assembled mainly from external reporting and from tensions inside the companies' own results, not from the Wiki.

External sources. (1) Fortune and Forbes Advisor, "Current price of gold," 4 August 2026 — spot \$4,070/oz at 8:30am ET, +0.47% on the day, -1.76% over one month, +21.02% year-on-year. (2) Newmont Q2 2026 reporting, 23 July 2026, via The Deep Dive — free cash flow \$2.21bn (-30% q/q), net income \$2.2bn, adjusted EPS \$2.10, production 1.293m oz, AISC \$1,621/oz, realised price \$4,414/oz, \$1.9bn returned including \$1.7bn of buybacks, \$4.3bn remaining of a \$6bn authorisation, cash \$9bn against debt \$5.08bn. (3) Agnico Eagle Q2 2026 results, PR Newswire, 29 July 2026 — record free cash flow \$1,335m, net income \$1,600m, adjusted EPS \$3.07, production 855,816 oz, AISC \$1,459/oz, realised price \$4,483/oz, cash \$3,464m against debt \$197m, \$625m returned including a \$400m buyback at \$178.86 average, FY26 guidance 3.3–3.5m oz at \$1,400–\$1,550 AISC. (4) StockAnalysis, as of 4 August 2026 — GDX close \$78.41 (+3.10%), 52-week range \$53.16–\$117.18, AUM \$23.4bn, P/E 13.56, top-five holdings NEM 10.37%, AEM 10.12%, ABX 8.01%, WPM 5.56%, FNV 5.12%. (5) FOMC coverage of the 29 July 2026 decision — hold at 3.50–3.75% on a 9–3 vote with three dissents in favour of a hike, no Chair dot-plot submission, 30-year Treasury 5.14% and 10-year 4.62%, September hike odds repriced to 76–82% from 30–38%. (6) Gold Eagle, 20 July 2026 — GDX at 83.8% of its 200-day moving average, described as the most oversold in 3.7 years.

Editorial choices made in this automated run. Gold Miners was selected because it is the theme carried by the newest source in the Wiki — the 2 August 13D WATMTU is headlined on it — and because AI Capex, yesterday's subject, sits under a 30-day cooldown. The archive folder could not be reached from this session, so the cooldown was verified only against the 4 August edition rather than the full archive. Gold and Gold Miners are maintained as separate pages by Wiki convention; this edition covers the equity expression and treats bullion as the input variable. Where the Wiki's internal price history and external spot reporting could both be obtained, both are shown rather than reconciled.

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